

Overseeing the legal and financial nuances around this sale was the newly created Ethereum Foundation headquartered in Zug, Switzerland.¹⁷

Ethereum's fund-raising effort was not only innovative and timely, it was also record-breaking. The public invested 31,591 bitcoin, worth \$18,439,086, for a total of 60,102,216 ether—an implied rate of \$0.31 per ether. At the time, it was the largest single crowdfunding effort.¹⁸ Some thought it outrageous that the team supporting a blockchain architecture could raise \$18 million without a functioning product, as this was clearly different from Bitcoin's process.

Venture capital investors (VCs) often invest in ideas and development teams, having faith they will work their way toward success. Ethereum democratized that process beyond VCs. For perspective on the price of ether in this crowdsale, consider that at the start of April 2017, ether was worth \$50 per unit, implying returns over 160x in under three years.¹⁹ Just over 9,000 people bought ether during the presale, placing the average initial investment at \$2,000, which has since grown to over \$320,000.²⁰

According to the Ethereum white paper, the profits from this sale would be “used entirely to pay salaries and bounties to developers, and invested into various for-profit and non-profit projects in the Ethereum and cryptocurrency ecosystem.” In addition to the 60 million ether sold to the public, roughly 6 million was created to compensate early contributors to Ethereum, and another 6 million for long-term reserves of the Ethereum Foundation.